

IN THE SUPREME COURT OF INDIA

Civil Appeal No. 1024/2024

Date of Decision: 10-01-2024

Apex Infrastructure Ltd ... Appellant

VERSUS

State of Maharashtra ... Respondent

FACTS OF THE CASE:

1. Appellant claims damages under Section 73 of the Indian Contract Act, 1872.
2. Failure to execute project within stipulated timeline led to contract termination.

ISSUES:

1. Whether proof of actual financial loss is mandatory under Section 73 & Section 74?

REASONING & DECISION:

The Supreme Court held that unliquidated damages under Section 73 require proof of loss.

RATIO DECIDENDI:

Section 73 mandates compensation only for actual damage naturally arising from breach.

DECISION:

Appeal dismissed with costs.